

PMEGP SCHEME (PRIME MINISTER EMPLOYMENT GENERATION PROGRAMME)

The Prime Minister’s Employment Generation Programme (PMEGP) is a flagship initiative of the Prime Minister’s Office designed to promote self-employment and generate sustained new employment opportunities across micro-enterprises in rural and urban areas. Barkat & Co. provides expert advisory and loan filing support to maximize subsidy allocations.

OBJECTIVES OF PMEGP

- Generate sustained and continuously new employment opportunities across sectors.
- Promote entrepreneurship in the non-farm sector, particularly for artisans and unemployed youth.
- Address rural-urban migration by establishing viable employment opportunities at the local level.
- Alleviate poverty and unemployment in India while promoting balanced growth across all sections of society.

FINANCIAL ASSISTANCE AND SUBSIDY DETAILS

1. For New Micro-Enterprises

AREA / CATEGORY	SUBSIDY RATE (% OF PROJECT COST)	MAXIMUM PROJECT COST LIMIT
Urban Areas (General Category)	15% of project cost	Manufacturing: ₹50 Lakhs Service/Trade: ₹20 Lakhs
Urban Areas (Special Category)	25% of project cost	Manufacturing: ₹50 Lakhs Service/Trade: ₹20 Lakhs
Rural Regions (General Category)	25% of project cost	Manufacturing: ₹50 Lakhs Service/Trade: ₹20 Lakhs
Rural Regions (Female, SC, ST, OBC, Minorities)	35% of project cost	Manufacturing: ₹50 Lakhs Service/Trade: ₹20 Lakhs

PMEGP Loan Process: After determining the appropriate subsidy and beneficiary contribution, participating banks provide term loans for the remaining project cost.

2. Upgrading Existing Units

Existing micro-enterprises seeking modernization are eligible for a uniform subsidy of **15-20%**, with maximum financial assistance of **₹1 Crore** for manufacturing units and **₹25 Lakhs** for service/trading units. Qualifying units must exhibit operating profits and timely servicing of previous PMEGP/REGP/MUDRA credit.

QUALIFYING CRITERIA

New Businesses

- **Age:** Must be over 18 years of age.
- **Academics:** Minimum 8th standard pass if project investment exceeds ₹10 Lakhs (manufacturing) or ₹5 Lakhs (service industry).
- **Population Certificate:** Required to verify rural or urban location status for applicable subsidy tiers.
- **Exclusions:** Applicants must not have availed subsidies under other government schemes like PMRY or REGP.

Upgrading Existing Units

- First PMEGP loan must be fully serviced and closed.
- Demonstrated reasonable profit-earning capacity and strong growth potential.

APPLICATION & DOCUMENTATION REQUIREMENTS

Applicants must register via the official PMEGP portal and submit the PMEGP Loan Form along with:

- Detailed Project Report (DPR) combined with business development plan.
- All educational and academic certificates.
- Category-based certificates for special applicants (SC, ST, OBC, Minorities, Women).
- Proof of residence (rural/urban area certificate) and registration proof.
- Mandatory Entrepreneurship Development Programme (EDP) training completion.

SIGNIFICANCE & COMPETITIVE EXAM RELEVANCE

The scheme safeguards traditional crafts, acts as an economic engine in backward regions, and raises living standards. For UPSC and competitive exam candidates, PMEGP is a vital topic concerning rural employment, economic decentralization, and poverty alleviation.

ROLE OF BARKAT & CO. IN PMEGP SUCCESS

We assist stakeholders across Haryana with application filing, compliance checks, and maximizing subsidy allocation to secure project approvals in record time.

FREQUENTLY ASKED QUESTIONS (FAQS)

1. What types of projects are supported under PMEGP?

Manufacturing, processing, service, and trading sector micro-enterprises are supported under the scheme.

2. Can existing businesses apply for PMEGP?

Yes, existing profitable micro-enterprises can apply for financial assistance towards modernization and expansion.

3. What is required to apply on the PMEGP portal?

A complete Detailed Project Report (DPR), KYC documents, educational certificates, category proofs, and residence certificates.

4. How is PMEGP beneficial for unemployed youth?

It provides subsidized capital and credit support, empowering youth to transition from job seekers to self-employed job creators.

5. Why are population certificates relevant in PMEGP?

Population certificates determine whether a project is located in a rural or urban area, directly dictating the applicable subsidy percentage (e.g., 35% vs 25%).

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